

investors. My own copy is full of marked-up pages. I recommend you grab a copy and read it carefully. The Outsiders will give you a window into a

“radically rational” world. Incredibly, it is one that is still unappreciated by most investors. But it is one that will repay study many times over.

The Next Outsiders

Recently, I got to ask Thorndike about 100-baggers in the making.

In New York, Thorndike sat down for a Q&A moderated by William Cohan, who was an investment banker at Lazard and now writes books and shows up on TV. The New York Society of Security Analysts hosted the event. It was definitely worthwhile.

I won't recount the whole discussion. But I will highlight one part that will interest you. And that is his answer to my question. I asked him what CEOs and companies he thought followed the Outsiders template.

He rolled off several ideas:

- *Nick Howley, TransDigm (TDG)*. Thorndike called TransDigm an

“incredible company, based in Cleveland.” TransDigm makes highly specialized parts for aircraft. These parts are hard to replace. They are critical to flying aircraft. And there are no substitutes. So TransDigm has a great business. Add in Howley's aggressive buybacks and you have a superpowered stock.

TransDigm has a cameo in the book, running a couple of pages.

If you bought it just after the book came out in October 2012, you'd be up 45 percent. The stock never looks cheap enough to me, but there's no denying it has been a winner. It's up 660 percent since its IPO in 2006.

- *Steven and Mitchell Rales at Danaher (DHR) and Colfax (CFX)*.

The Rales brothers have been the moving force behind two